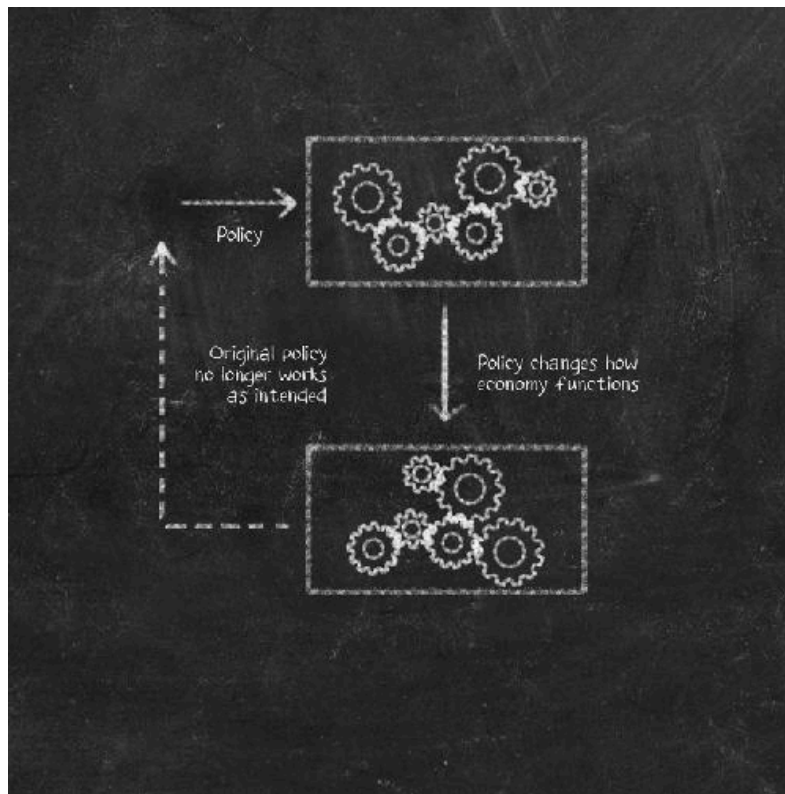


The Lucas critique



In the 1970s, US economist Robert Lucas criticized standard economic policy in what came to be known as the Lucas critique. This formed part of a school of thought that introduced 'rational expectations' (see [Rational expectations](#)) into economics. Lucas pointed out that policy is devised assuming stable relationships between variables – for example, that lower unemployment goes with higher inflation. He argued that the introduction of a policy would actually change the relationships forming the basis of the policy. This is because people, having rational expectations, would accurately anticipate the impact of the policy and change their behaviour accordingly, often undermining the original goal of the policy. For example, if the government tries to boost employment, people anticipate the higher inflation that results and realize this will reduce their real wages, discouraging them from working more. The critique, while fundamental, depends

on rational expectations, an assumption that some call into question.